

Which one of the following methods of issuing securities in the primary market allows companies to offer shares to existing shareholders at a predetermined price?

- A. Initial public offering(IPO)
- B. Rights issue
- C. Preferential issue
- D. Follow-on Public Offering (FPO)

ANSWER: B

A type of bond that issued without a named holder, the person who has the paper certificate can claim the value of the bond and are very risky because they can be lost or stolen.

- A. Perpetuities
- B. Subordinated bonds
- C. Senior bonds
- D. Bearer bond

ANSWER: D

What does the agency problem refers to?

- A. The conflict that exist between the board of directors and the employees of them
- B. The problem associated with financial managers and internal revenue agent
- C. The conflict that exist between stockholders and investors
- D. The problem that the result from potential conflict of interest between the manager of business and stockholders.

ANSWER: D

If an investor had a choice of receiving ETB 1,000 today or ETB 1,100 in five years with 10% annual interest which would the average investor prefer?

- A. ETB 1,100 in five years because they are not good at saving money
- B. ETB 1,000 today because it will be worth more than ETB 1,100 received in five years
- C. ETB 1,100 in five years because it will be worth more than ETB 1,000 received today
- D. Investor would be in different to when they would receive ETB 1,000 or 1,100

ANSWER: B

Accounting principles are generally based on:

- A. Objectivity
- B. Subjectivity
- C. Convenience and personal interpretation
- D. None

ANSWER: A

Payment of an account payable affects the components of the accounting equation in which way of the following?

- A. Decreases owner's equity and decreases liabilities.
- B. Increases assets and decreases liabilities.
- C. Decreases assets and increases owner's equity.
- D. Decreases assets and decreases liabilities.

ANSWER: D

Adama Textile manufactures Company and sales a single product. During the year of 2023 just ended the company produced and sold 160,000 units at an average price of Br.150 per unit. Variable manufacturing costs were Br 80 per unit, and variable marketing costs were Br 40 per unit sold. Fixed costs amounted to Br. 200,000 for manufacturing and Br.40, 000 for marketing. Adama Textile manufactures Company breakeven point (BEP) sales in Birr for the year of 2023 is:

- A. 1,250,000 birr
- B. 1,200,000 birr
- C. 2,200,000 birr
- D. 125,200 birr

ANSWER: B

Margin ratio is 25%, and its annual fixed expenses are Br. 220, 000. The firm's income-tax rate is 35% and Net income after tax (NIAT) 65,000.What is the amount of Net Income before tax (NIBT)?

- A. NIBT=1,000
- B. NIBT=10,000
- C. NIBT=100,000
- D. NIBT=1,000,000

ANSWER: C

In in year 1 a company used LIFO, year 2 specific identification and in year 3 moving average cost for inventory cost for inventory valuation. Which of the following assumptions, constraints or principles would be violated?

- A. Time period
- B. Matching
- C. Consistency
- D. Comparability

ANSWER: C

Which one of these changes would be classified as a 'change in accounting policy' as determined by IAS 8?

- A. Changed the useful economic life of its plant and equipment from six years to eight years
- B. Increased the allowance for doubtful debts from 6% to 8% of outstanding debts

- C. Changed the method of valuing inventory from weighted average cost to first in first out
- D. Changed the depreciation of plant and equipment from reducing balance to straight line depreciation on cost

ANSWER: C

Which of the following items would not appear in the financing section of the statement of cash flows?

- A. The issuance of the company's own stock.
- B. The repayment of debt.
- C. The payment of dividends.
- D. The Payment of Account Payable.

ANSWER: D

A Company has granted 200 share appreciations right to each of its 400 employees on January 2016. The right is due to vest on 31 December 2018 with payment being made on 1 January 2019. During 2016, 50 employees leave, and it is anticipated that a further 50 employees will leave during the vesting period.

- Fair Values at January 1, 2016 is birr 15
- Fair Values at December 31, 2016 is birr 18
- Fair Values at December 31, 2017 is birr 20

Which of the following is correctly recorded in the financial statement on December 31, 2016?

- A. Dr, Expense, birr 360,000.00 & CR, Equity, birr 360,000.00
- B. Dr, Expense, birr 360,000.00 & CR, Liability, birr 360,000.00
- C. Dr, Expense, birr 300,000.00 & CR, Equity, birr 300,000.00
- D. Dr, Expense, birr 300,000.00 & CR, Liability, birr 300,000.00

ANSWER: B

The home office bills merchandise shipped to the branch at 25% over home office cost. Suppose the branch's beginning inventory, shipments from home, and ending inventory are Br.50,000, Br.200,000, and Br.80,000 respectively, at billed prices. Branch cost of goods sold on the branch's books and in the combined statements is:

- A. Branch: Br.170,000; Combined: Br.136,000
- B. Branch: Br.230,000; Combined: Br.184,000
- C. Branch: Br.170,000; Combined: Br.127,500
- D. Branch: Br.230,000; Combined: Br.172,500

ANSWER: A

In reconciling the reciprocal accounts between a home office and a branch, adjustments must be made to bring these accounts into balance before eliminations can be made. Differences in these balances can be due to all of the following, except:

- A. Shipments in transit at the end of the period which are recorded by the home office but not by the branch.
- B. Sales to customers by the home office at the end of the accounting period which were not recorded by the branch.
- C. Remittances from the branch mailed on the last day of an accounting period which are not recorded by the home office.
- D. Collections of home office receivables by the branch close to the end of a period which is not recorded by the home office.

ANSWER: B

The cost incurred for a computer system installed last year is an example of:

- A. Sunk cost
- B. Relevant cost
- C. Differential cost
- D. Committed cost

ANSWER: A

The fewer inputs used to create outputs, the more the business activity become:

- A. Profitable
- B. Both effective and efficient
- C. Efficient
- D. Effective

ANSWER: C

The following data related to direct material costs for Department B:

Actual cost is 4,600 pounds at @ \$5.50

Standard costs is 4,500 pounds @ \$6.00

What is material price variance?

- A. \$2,250 unfavorable
- B. \$2,250 favorable
- C. \$1,700 unfavorable
- D. \$2,300 favorable

ANSWER: D

All of the following are indirect taxes, except;

- A. Excise tax
- B. Business Income Tax
- C. Turn Over Tax
- D. Value Add Tax

ANSWER: B

The subject matter of the public finance concerned with the preparation, control and administration of financial budget is referred to as:

- A. Public expenditure
- B. Economic stabilization and growth
- C. Public borrowing
- D. Financial administration and control

ANSWER: D

If an auditor had a substantial stock investment in a client that she (he) was auditing, which of the following would be true?

- A. The auditor would lack independence.
- B. The auditor would lack professional competence
- C. The auditor would lack sufficient evidence
- D. None

ANSWER: A

The auditor is determining that the correct selling price was used for billing and that the quantity of goods shipped was the same as the quantity billed. She is gathering evidence about which transaction-related audit objective?

- A. Completeness assertion
- B. Existence assertion
- C. Accuracy assertion
- D. Cut-off assertion

ANSWER: C

Suppose that the auditor visited the plant to obtain a general impression of the client's facilities, or watched individuals perform accounting tasks to determine whether the person assigned a responsibility is performing it properly. Which of the following best describes the kind of evidence the auditors employed?

- A. Inquiries of client
- B. Physical examination
- C. Observation
- D. Analytical procedures

ANSWER: C

Which one of the following enhancing qualitative characteristics enables investors, lenders and other creditors to identify and understand similarities in, and differences among items?

- A. Comparability
- B. Verifiability
- C. Timeliness
- D. Understandability

ANSWER: A

IAS 41 is applied to agricultural produce:

- A. Before the harvest.
- B. After the harvest
- C. Before, during and after the harvest.
- D. Only at the point of harvest.

ANSWER: D

Accounting does not record non-financial transactions because of the concept of:

- A. Entity
- B. Cost
- C. Accrual
- D. Measurement

ANSWER: D

Posting means:

- A. Normally occurs before journalizing
- B. Transfers ledger transaction data to the journal.
- C. Transfers journal entries to ledger accounts
- D. An optional step in the recording process.

ANSWER: C

Risk of material misstatement is defined as 'the risk that the financial statements are materially misstated prior to audit. Which one of the following two components exactly represents risk of material misstatement?

- A. Detection risk and audit risk
- B. Control risk and detection risk
- C. Inherent risk and control risk
- D. Audit risk and natural risk

ANSWER: C

The method that the auditor determines a uniform interval by dividing the number of physical units in the population by the sample size is:

- A. Random sampling
- B. Haphazard sampling
- C. Systematic sampling
- D. Block sampling

ANSWER: C

Which of the following statements about the characteristics of debt and equity is false?

- A. They can both be long-term financial instruments.
- B. They both involve a claim on the issuer's income.
- C. They both enable a corporation to raise funds.
- D. They can both be short-term financial instruments.

ANSWER: D

Which one of the following type of derivatives gives buyer the right, but not the obligation to sell a given quantity of the underlying asset at a given price on or before a given date?

- A. Futures contract
- B. Put option
- C. Call option
- D. Swaps

ANSWER: B

A firm's risk largely determined by the financial characteristics of its industry specially by the amount of debt the average firm the in the industry uses:

- A. Business risk
- B. Financial risk
- C. Operational risk
- D. Credit risk

ANSWER: B

_____ is essentially the margin of safety required to meet unexpected need.

- A. The precautionary demand
- B. The transaction demand
- C. The speculative demand
- D. The accounting demand

ANSWER: A

Your father invested the lump sum 26 years ago at 4.25% today. He gave you the proceed of that investment which totaled ETB 51,400.79 is:

- A. ETB 15,929.47
- B. ETB 16,500
- C. ETB 17,444.86
- D. ETB 17,500

ANSWER: C

ABC-Entities had the following financial data for the year ended December 31, 20X2:

- Gain on sale of assets-----\$ 15,000.00

- Dividends declared-----\$ 2,000.00
- Net income----- \$ 45,000.00
- Depreciation and amortization-----\$ 10,000.00
- Increase in accounts receivable-----\$ 5,000.00

Based on the above information, what is the Ending cash balance at December 31, 20X2, assuming an opening cash balance of \$ 30,500.00?

- A. \$ 95,500
- B. \$ 93,500
- C. \$ 85,500
- D. \$ 97,500

ANSWER: A

What is the major source of finance for non-government not-for-profit organizations?

- A. From investors and profit generated
- B. Donation and contributions
- C. Tax collected
- D. None

ANSWER: B

After completion of the acquisition or construction of the fixed asset, the asset itself will be accounted for in the:

- A. General long-term debt account group
- B. General fixed asset account group
- C. General obligation debt
- D. Debt service fund

ANSWER: B

Assume that Elias Company supplied raw materials for ABC Manufacturing Company for Birr 450,000 VAT exclusive. ABC Company produced finished goods and sold to its agent XYZ Company for Birr 598,000 with VAT inclusive. How much of VAT will ABC Company pay to tax authority?

- A. Birr 78,000
- B. Birr 67,500
- C. Birr 10,500
- D. Birr 89,700

ANSWER: C

Identify wrong statement about tax.

- A. Taxation has insignificant effect on consumption and employment pattern.
- B. Tax is a compulsory payment to the government.

- C. Tax imposes duty of payment on person who is liable to it.
- D. Tax receipts are commonly used for the production of public goods.

ANSWER: A

Which of the following statement best describes the optimal capital structure?

- A. The optimal capital structure is the mix of debt ,equity and preferred stock that maximize the company's earnings per share(EPS)
- B. The optimal capital structure is the mix of debt, equity and preferred stock that maximize the company's stock price.
- C. The optimal capital structure is the mix of debt, equity and preferred stock that minimize the company's cost of debt.
- D. The optimal capital structure is the mix of debt, equity and preferred stock that minimize the company's cost equity

ANSWER: B

In variables sampling or test of account balances, which one of the following shows as the auditor's sample indicates that the account balance is fairly stated even though the account balance is materially misstated?

- A. Risk of incorrect rejection
- B. Risk of incorrect over reliance
- C. Risk of under reliance
- D. Risk of incorrect acceptance

ANSWER: D

In accordance with the terms of our engagement, we did not follow the generally accepted auditing procedures of communicating with debtors to confirm accounts receivable balances and of observing the methods used by your employees in determining inventory quantities. Because of these limitations, the scope of our examination was not sufficient to permit us to express an opinion on the accompanying financial statements taken as a whole. This type of report is issued in:

- A. Unqualified opinion – clean report.
- B. Qualified opinion – qualified report.
- C. Disclaimer of opinion – disclaimer report.
- D. Adverse opinion – adverse audit report

ANSWER: C

An expense payable account will show a balance and will be shown on the.....side of the balance sheet.

- A. Credit and liability
- B. Debit and assets
- C. Credit and assets

D. None

ANSWER: A

Properties and possessions of a business are termed as

A. Assets

B. Liabilities

C. Profit

D. Loss

ANSWER: A

As per IAS 37 a liability of uncertain timing or amount is -----

A. Loss contingencies

B. Contingent liabilities

C. Provision

D. Contingent Assets

ANSWER: C

Assume that ABC Company performs an impairment test for its equipment. The carrying amount of the equipment is Br.800, 000, its fair value less cost to sell is Br.730, 000, and its value in use is Br.750, 000. How much is the impairment loss on equipment?

A. Br.70,000

B. Br.50,000

C. Br.20,000

D. No impairment loss

ANSWER: B

Which of the following best describes the objective of an audit of financial statements?

A. To express an opinion whether the financial statements are prepared in accordance with prescribed criteria.

B. To express an assurance as to the future viability of the entity whose financial statements are being audited

C. To express an opinion whether the financial statements are prepared, in all material respect, in accordance with an identified financial reporting framework.

D. To express an assurance about the management's efficiency or effectiveness in conducting the operations of entity.

ANSWER: C

Which of the following is incorrect about budget?

A. It should indicate its objective.

B. It is a carefully prepared report of past business conditions.

C. Its period should be specific.

D. It should indicate the required resource for achieving objectives.

ANSWER: B

Which one of the following is not true about bond?

- A. Bond issued at a discount - amount paid at maturity is more than the issue amount.
- B. Bonds issued at a premium - company pays more at maturity relative to the issue amount.
- C. Bonds issued at a premium - company pays less at maturity relative to the issue price.
- D. Bond issued at a discount - amount paid at maturity is higher than the issue price.

ANSWER: B

IAS 7 defines investing activities as:

- A. The acquisition and disposal of long-term assets and other investments not included in cash equivalents.
- B. The principal revenue-producing activities of the entity and other activities that are not investing or financing activities.
- C. Are activities that result in changes in the size and composition of the contributed equity and borrowings of the entity
- D. None

ANSWER: A

Capital project fund do not accounts for the acquisition of:

- A. Administrative building
- B. Civic centers
- C. Libraries
- D. Office equipment

ANSWER: D

IPSAS is issued by:

- A. International Accounting Standard Board
- B. Financial Accounting Standard Board
- C. International Public Sector Accounting Standard Board
- D. International Financial Reporting Standard

ANSWER: C

S Company had the following department information about physical units and percentage of completion:

	<u>Physical Units</u>
Work in process, May 1 (60%)	36,000
Completed and transferred out	50,000
Work in process, May 31 (40%)	10,000

If materials are 100% complete at the beginning of the production process, the total cost for material was 600,000.00. What are the equivalent units & unit costs for materials respectively?

- A. 96,000 & 6.25
- B. 60,000 & 10.00
- C. 86,000 & 6.97
- D. 60.000 & 10.00

ANSWER: B

Which of the following would most likely be included as part of manufacturing overhead in the production of a wooden table?

- A. The amount paid to the individual who stains the table.
- B. The commission paid to the salesperson who sold the table.
- C. The cost of glue used in the table.
- D. The cost of the wood used in the table.

ANSWER: C

Contingent assets /gain Contingencies include all of the following except one?

- A. Possible refunds from the government in tax disputes.
- B. Pending court cases with a probable favorable outcome.
- C. Possible receipts of monies from service provided or goods delivered.
- D. Possible receipts of monies from gifts, donations, bonuses.

ANSWER: C

Debt securities bought and held primarily for sale in the near term to generate income on short-term price differences can be classified as

- A. Held to maturity securities
- B. Trading securities
- C. Available for sale securities
- D. Equity securities

ANSWER: B

Which of the following liability categories does not fall under current liabilities?

- A. Unearned revenues
- B. Pension liabilities
- C. Short-term obligations expected to be refinanced
- D. Current maturities of long-term debt.

ANSWER: B

Which one of the following cannot be an indicator of a finance lease?

- A. The lease transfers ownership of the asset to the lessee by the end of the lease term.

- B. The lessee has the option to purchase the underlying asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception date, that the option will be exercised (i.e., 'bargain purchase option').
- C. The lease term is for the major part of the economic life of the asset even if title is not transferred
- D. None

ANSWER: D

Ediget Company reports net income of \$57,000. The partnership agreement provides for salaries of \$15,000 to Sintayehu and \$12,000 to Mohammed. They will share the remainder on a 60% and 40% basis respectively. How much is the net income to be given to Mohammed?

- A. 33, 000
- B. 24,000
- C. 23,500
- D. None

ANSWER: B

Excess of debit over credit in the trading account means

- A. Gross loss
- B. Gross profit
- C. Cost of goods sold
- D. None

ANSWER: A

The government budget types that designed to be made as out flow of resources for general government services and Administration is:

- A. Recurrent expenditure budget
- B. Capital Expenditure budget
- C. Revenue budget
- D. Both recurrent and capital expenditure budget

ANSWER: A

When ABC Government Organization uses General Fund and records the transaction of purchase order for non-recurring expenditure which is issued to outside suppliers in the total amount of Br. 6,000, is recorded as:

- A. Expenditure debit and cash credit on the same amount
- B. Reserve for encumbrance debit Br. 6,000 and Encumbrance credit Br. 6,000
- C. Encumbrance debit Br. 6,000 and reserve for encumbrance credit Br. 6,000
- D. There is no entry to be prepared

ANSWER: C

Which one of the following is not the process involves dissolution and winding up of public enterprise?

- A. Sale of assets
- B. Payment of creditors
- C. Payment of remaining assets to the members based on profit and loss ratio
- D. Payment of remaining assets to the government

ANSWER: C

In preparing the combined financial statement, which of the following accounts is not eliminated?

- A. Reciprocal ledger accounts
- B. Any intercompany profits or losses.
- C. Any receivables and payables between the home office and the branch
- D. Payment branch operating expense by home office

ANSWER: D

Which of the following is incorrect about capital expenditure?

- A. It contributes to the increased productive capacity of the nation.
- B. It is a developmental expenditure
- C. They are intended for continuing the existing flow of goods and services.
- D. They are expenditures on infrastructural development, irrigation projects, public enterprises, agricultural and industrial development and others.

ANSWER: C

Which of the following is wrong about Biological Asset?

- A. Coffee Plant, Goat, Cow are Bearer Plants.
- B. Sheep is a Bearer Animals.
- C. Wheat and maize are Consumable Biological Asset.
- D. Vine and Apple are Bearer Biological Asset.

ANSWER: A

Which of the following is true about Temporary differences of tax?

- A. A deductible temporary difference is a deferred tax Liability.
- B. A taxable temporary difference is a deferred tax Asset.
- C. Deductible temporary differences is a deferred tax Asset
- D. The equality of Carrying value and Tax Base of an Asset.

ANSWER: C

Which one of the following is the detachment of produce from a biological asset or the cessation of a biological asset's life processes?

- A. Biological transformation
- B. Degeneration
- C. Harvesting
- D. Biological activity

ANSWER: C

If someone working for a company knows that a bad piece of news is about to be released, and sells his shares of the stock in order to guard against loss, then this is called _____.

- A. Insider trading
- B. Front running
- C. Pump and dump
- D. Wash trading

ANSWER: A

All of the following are true, except;

- A. In direct finance, borrowers borrow funds from lenders directly or face to face with no intermediary
- B. In indirect finance, funds move from lenders to borrowers by a second route which involves a financial intermediary that stands between the lender-savers and the borrower-spenders and helps transfer funds from one to the other.
- C. The process of direct finance using financial intermediaries, called financial intermediation, is the primary route for moving funds from lenders to borrowers.
- D. In direct finance, borrowers borrow funds from lenders directly in financial markets by selling securities, which are claims on the borrower's future income or assets

ANSWER: C

The cash receipts from a special tax levy to retire and pay the general obligation bonds issued to finance the construction of a new city hall should be recorded in:

- A. Capital project fund
- B. Debt service fund
- C. Special revenue fund
- D. Enterprise fund

ANSWER: B

IPSAS is applies to all of the following entities, except;

- A. Public sector social security funds, trusts, and statutory authorities
- B. Private not for profit/non-government organizations
- C. Government business enterprises
- D. International governmental organizations.

ANSWER: C

Awash Bank grants 100 share options to each of its 500 employees on January 2014 E.C, which can be exercised at any time over 3years and subject to a 3- year service condition.

- The fair value of each option is determined to be birr 30 at the grant date.
- An estimated 85 % of the employees will complete the service condition required for receiving the options.

Which of the following is true value of Employee Benefit Expense on financial statement at the end of December 31, 2014 E.C?

- A. Birr 375,000
- B. Birr 425,000
- C. Birr 500, 000
- D. Birr 1,500,000

ANSWER: B

Under IFRS 3 Business Combinations, a gain on bargain purchase arises when the acquirer's interest in the net fair value of the acquiree's identifiable assets and liabilities is:

- A. Less than the carrying amount of the net assets acquired.
- B. Less than the consideration transferred.
- C. Greater than the consideration transferred.
- D. More than the book values of the identifiable assets acquired

ANSWER: C

Beka Limited acquired the net assets and contingent liabilities of ABC Limited for a purchase consideration of Br.600 000. ABC Limited's net assets and contingent liabilities at fair value were: total assets Br.840 000; total liabilities Br.300 000; and contingent liabilities Br.100 000. The amount of goodwill to be recognized by Beka Limited when recording the business combination is:

- A. Br.160 000
- B. Br.260 000
- C. Br.400 000.
- D. Br.440 000

ANSWER: A

A production cost report:

- A. Used to record the costs chargeable to a specific job
- B. Shows only cost data for a production department
- C. Combines process cost and job order costing systems costs
- D. Provides a basis for evaluating the productivity of a department

ANSWER: D

Prime cost is the sum of:

- A. Direct material cost and Direct labor cost
- B. Direct labor costs and Overhead Costs
- C. Direct materials costs and overhead costs
- D. Indirect materials costs and indirect labor costs

ANSWER: A

The XY Equipment Company estimates its carrying cost at 15% and its ordering cost at \$ 9 per order. The estimated annual requirement is 48,000.00 units at a price of \$ 4 per unit. What is the most economical number of units to order?

- A. 1200 Unites
- B. B.144000 units
- C. 48000 units
- D. 100units

ANSWER: A

From the following alternative, which one is a major disadvantage of a corporation?

- A. Limited liability of stockholders.
- B. Transferable ownership rights.
- C. Additional taxes
- D. None

ANSWER: C

For a given accounting period the Revenue from sales is Br 450,000, sales discount is Br 12,000, cost of goods sold is Br 230,000 and operating expenses are Br 180,000. What is the balance of net income?

- A. Br 38,000
- B. Br 40,000
- C. Br 220,000
- D. Br 28,000

ANSWER: D

The net sales of ABC Co. in March were Br 20,000. If the cost of goods available for sale during the month was Br 18,000 and the gross profit amounted to Br 8, 000, the ending inventory must be:

- A. Br 10,000
- B. Br 6,000
- C. Br 4,800
- D. None

ANSWER: B

The present value of \$200 received in two years with interest rate is?

- A. $\$200/(1+i)$
- B. $\$100*(1+i)$
- C. $\$200(1/(1+i)^2)$
- D. $200*(1+i)^2$

ANSWER: C

Kingo clothe store had a balance in the account receivable ETB 468,750 and Net credit Sale during the year amounted to ETB 3,000,000. The Average Collection Period of the receivable in terms of days was:

- A. 53 days
- B. 365 days
- C. 60 days
- D. 57 days

ANSWER: D

Birhanu invested ETB 6,200 in Account that pay 5% simple interest. How much money will you have at the end of the year?

- A. ETB 8,710
- B. ETB 9,000
- C. ETB 9,300
- D. ETB 9,678

ANSWER: C

_____ is a method of arranging business combination with Survivor Company.

- A. Statutory merger
- B. Statutory consolidation
- C. Acquisition of assets
- D. Acquisition of common stock

ANSWER: A

If the home office of ABC Co. maintains the accounting records of the plant assets of its branch and that branch acquired equipment for \$5,000 cash, the appropriate journal entry for the branch is:

- A. Debit the Home Office ledger account and credit a plant asset account for \$5,000
- B. Debit the Home Office account and credit Cash for \$5,000
- C. Debit a plant asset account and credit the Home Office account for \$5,000
- D. Debit Cash and credit the Home Office account for \$5,000

ANSWER: B

The combination between enterprises in unrelated industries or markets is known as:

- A. Stock acquisition
- B. Vertical Combination
- C. Conglomerate
- D. Horizontal combination

ANSWER: C

DH Geda is merchandise firm the net purchase after cash discount 1% shows br.19,758. The amount of merchandise inventory at the beginning and the end of the accounting period show br. 0 and br.1,138 respectively. All purchase were made with FOB destination term and assume net sale of the period was br.26,590. The cost of goods sold and gross profit respectively be:

- A. Br,20,896 & 7970
- B. Br,19,758 & 18,620
- C. Br, 18,620 & 7,970
- D. None

ANSWER: C

Sara Company's Cash account shows an ending balance of Br 650. The bank statement shows a Br 29 service charge and an NSF check for Br 150. A Br 240 deposit is in transit, and outstanding checks total Br 420. What is Sara's adjusted cash balance?

- A. Br 291
- B. Br 829
- C. Br 471
- D. Br 470

ANSWER: C

Which of the following is the primary objective of financial management?

- A. Employees' benefit
- B. Satisfaction of customers
- C. Satisfaction of suppliers
- D. Maximize stockholders wealth

ANSWER: D

Based on the information below, what is ABC Company's optimal capital structure?

- A. Debt = 40%, Equity = 60%, EPS = \$2.95, Stock price \$26.50
- B. Debt = 50%, Equity = 50%, EPS = \$3.05, Stock price \$28.90
- C. Debt = 60%, Equity = 40%, EPS = \$3.18, Stock price \$31.20
- D. Debt = 80%, Equity = 20%, EPS = \$3.42, Stock price \$30.40

ANSWER: C

Which of the following is not true about opinion on financial statements?

- A. The auditor should express an opinion on financial statements.
- B. His opinion is no guarantee to future viability of business.
- C. He is responsible for detection and prevention of frauds and errors in financial statements.
- D. He should examine whether recognized accounting principle have been consistently

ANSWER: C

A sale of Birr 90,000 to A was entered as a sale to B. This is an example of:

- A. Error of omission
- B. Error of commission
- C. Compensating error
- D. Error of principle

ANSWER: B

The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor is:

- A. Outstanding checks.
- B. Deposit in transit.
- C. Bank error.
- D. Bank service charges

ANSWER: D

Consider the overall effects on Fossil of selling watches on account for Br 64,000 and paying expenses totaling Br 25,000. What is Fossil's net income or net loss?

- A. Net income of Br 39,000
- B. Net loss of Br 39,000
- C. Net income of Br 64,000
- D. Cannot determine from the data given

ANSWER: B

On January 1, 2008, Blake Company acquired all of Frost Corporation's voting shares for \$280,000 cash. On December 31, 2009, Frost owed Blake \$5,000 for services provided during the year. When consolidated financial statements are prepared for 2009, which entry is needed to eliminate intercompany receivables and payables in the consolidation work paper?

- A. Accounts Payable 5,000
 Accounts Receivable 5,000
- B. Accounts Receivable 5,000
 Accounts Payable 5,000
- C. Retained Earnings 5,000
 Accounts Receivable 5,000
- D. Eliminating entry is not required

ANSWER: A

X Company uses activity-based costing for Product B and Product D. The total estimated overhead cost for the parts administration activity was \$600,000 and the expected activity was 2000 part types. If Product D requires 1300 part types, the amount of overhead allocated to product D for parts administration would be:

- A. \$390,000
- B. \$300,000
- C. \$330,000
- D. \$345,000

ANSWER: C

One of the following is false about the importance of financial regulations.

- A. Implementation of laws
- B. Bringing defaulters to trial
- C. Maximizing their profitability
- D. Providing licenses

ANSWER: C

The economic function of financial intermediaries that transforms riskier assets into less risky ones is called _____.

- A. Diversification
- B. Maturity intermediation.
- C. Information processing costs
- D. Providing payment mechanisms

ANSWER: A

The element of the auditor's report that states the audit work performed and identifies the responsibilities of the auditor and the auditee in relation to the financial statements is:

- A. Title
- B. Scope paragraph
- C. Opinion paragraph
- D. Introductory paragraph

ANSWER: D

Which types of audit evidence encompass the investigation of identified fluctuations and relations that are inconsistent with other relevant information or deviate significantly from predicted amounts?

- A. Re performance
- B. Recalculation
- C. Analytical procedures
- D. Confirmation

ANSWER: C